

JOINT DEVELOPMENT AGREEMENT

SHINONOME ELECTRIC CO., LTD.
MARSDEN AUDIO LABORATORIES, INC.

Dated: November 16, 2009

Executed at: Kita-ku, Osaka

Reference: SDK-JDA-2009-011 / MAL-AGR-2009-0044

Program code: JD-SHN-09

COURTESY TRANSLATION. This English text has been prepared for convenience only. The Japanese text is the governing text. See Article 18.
Prepared by the Legal Department of Shinonome Electric Co., Ltd.; reviewed for sense by Marsden Audio Laboratories, Inc.

Shinonome Electric Co., Ltd. ("Party A") and Marsden Audio Laboratories, Inc. ("Party B") hereby enter into this Agreement concerning joint development relating to next-generation object-based audio coding, as follows.

Article 1 (Purpose)

The purpose of this Agreement is to set out the rights and obligations of the Parties in relation to the research and development to be conducted jointly by the Parties in the field of next-generation object-based audio coding (the "Joint Development").

Article 2 (Definitions)

Terms used in this Agreement have the meanings given in Annex B.

Article 3 (Organization)

Each Party shall appoint one responsible person, and quarterly review meetings shall be held. Minutes shall be prepared by the secretariat within two business days after each meeting and confirmed by the responsible persons of both Parties.

Article 4 (Work Packages)

Work packages under the Joint Development are described in Annex A. No amendment to Annex A shall take effect unless agreed in writing by both Parties.

Article 5 (Ownership of Results)

1. All improvements arising therefrom shall be jointly owned by the Parties in equal shares.
2. Except as provided in the preceding paragraph, an invention shall be the sole property of the Party whose employee made it.
3. Where a question arises as to the application of the two preceding paragraphs, either Party may request written confirmation from the other, and the other Party shall respond within a reasonable period.

Article 6 (Patent Applications)

For inventions jointly owned under Article 5.1, the Parties shall file jointly. Countries, timing and cost sharing shall be agreed in writing case by case. For inventions solely owned under Article 5.2, that Party may file alone and the consent of the other Party is not required.

Article 7 (Working and Licensing)

In respect of a jointly owned right to obtain a patent or a jointly owned patent, each Party may work the same itself without the consent of the other. Licensing to a third party requires the written consent of the other Party.

Article 8 (Cost Sharing)

Costs of the Joint Development shall be shared in proportion to each Party's work effort under program code JD-SHN-09.

Article 9 (Sharing of Background Technical Information)

For the smooth conduct of the Joint Development, each Party shall endeavor to contribute to the other, at the review meetings, background technical information in its possession relating to the Joint Development. No rights are granted by the contributing Party in respect of information contributed under this Article. This Article concerns the sharing of information and is not a provision concerning ownership of results.

Articles 10 to 17 —Confidentiality; Non-infringement of third-party rights; Limitation of warranty; Limitation of liability; Force majeure; Non-assignment; Term; Termination. (See the relevant pages of the Japanese text.)

Article 16 (Term) (extract)

The term of this Agreement shall run from January 1, 2010 to December 31, 2013, provided that it may be extended by written agreement of both Parties.

Article 18 (Governing Language)

The Japanese text of this Agreement is the governing text. The English text has been prepared for convenience, and in the event of any discrepancy the Japanese text shall prevail.

Article 19 (Governing Law) —The laws of Japan.

Article 20 (Consultation) —Matters not provided for, and questions of interpretation, shall be settled by good-faith consultation.

Executed in duplicate, November 16, 2009.

Party A: Shinonome Electric Co., Ltd., Nakanoshima 3-chome, Kita-ku, Osaka
Toshifumi Ugawa, President and Representative Director (seal)

Party B: Marsden Audio Laboratories, Inc., San Mateo, California
Halvard Ostenfeld, Senior Vice President, Corporate Development (signed)

Annexes

Annexes A and B are not included in this translation.